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Lump-Sum Taxation

December 2025

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Switzerland is a top choice for wealthy individuals seeking a secure, sophisticated base. The country's long-standing political and legal stability, underpinned by an independent judiciary and predictable regulatory environment, provides exceptional protection for personal wealth and estate planning. The country's reputation for neutrality and discretion complements world-class private banking, wealth management and family office services, delivered within a highly developed financial infrastructure.

This is the first in a three-part series outlining the practical considerations for moving to Switzerland, with this instalment exploring the attractive lump-sum taxation regime.

What is Lump-Sum Taxation?

Lump-sum taxation provides an opportunity for foreign nationals, who do not engage in gainful activity in Switzerland, to obtain residence by paying tax calculated on their expenditure rather than their income, together with wealth tax.

Which cantons offer Lump-Sum Taxation?

It is available in most Swiss cantons except Zurich, Basel-Stadt, Basel-Land, Schaffhausen, and Appenzell-Ausserrhoden, where it has been abolished. Since conditions and tax bases vary by canton, the choice of residence is crucial.

Who can apply?

- The applicant must be a foreign national.
- The applicant must become a Swiss tax resident for the first time or return after an absence of at least 10 years.
- The applicant must not conduct any gainful activity in Switzerland, including board memberships of Swiss entities or artistic performances.
- For married couples, both spouses must meet these conditions.



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What is the tax base under the lump-sum tax regime and how is it calculated?

- Tax base: The taxable income is based on the taxpayer's and his dependent's worldwide annual living expenses, including housing, food, travel, and other personal costs.
- Minimum threshold: The minimum taxable income is usually 7 times the annual rental value of the taxpayer's Swiss residence (or 3× if staying in a hotel). Some cantons set a minimum base of CHF 400,000 or more. The federal minimum threshold is currently set at CHF 434,700.
- Ordinary tax rates: Once the base is determined, federal, cantonal, and communal tax rates are applied as if the base were regular income. Depending on the canton and the tax base, the tax burden may be less than CHF 100,000 per year in individual cases, plus any social security contributions.
- Wealth wax: In most cantons, wealth tax is calculated as a multiple of the deemed taxable income.

What are some other key considerations?

Due to double tax treaty rules with countries like Germany, France, and the US, some taxpayers may not qualify as Swiss treaty residents. They must declare all income from these countries to qualify for treaty benefits, allowing credits for foreign withholding taxes.

Individuals benefiting from lump-sum taxation must also pay social security contributions, with maximum annual charges around CHF 25,700 per person. Contributions cease at retirement age. Additionally, Swiss health insurance is mandatory for all residents.

Summary

Lump-sum taxation offers an attractive tax status for wealthy foreigners relocating to Switzerland, provided they avoid gainful activity in Switzerland and carefully plan their residence and income structure. It is strongly recommended to consult tax advisors and engage with cantonal authorities before relocation.



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